Agenda

01 **Framework**
Inputs, outputs, and the process for managing customer dynamics

02 **Case workshop**
Madrigal customer-base audit using four years of transactions

03 **Takeaways**
Customer dynamics as a source of sustainable growth decisions

Framework for Managing Customer Dynamics

Inputs

Your customers
Sales, margins, costs, behavior, and needs over time

Past marketing programs
Customer responses linked to actions and cost

Lost customers
Cause of defection and recovery evidence

→

Approaches and analyses

Lifecycle and AER · Dynamic segmentation · Lost customer analysis CLV · HMM · Choice models · Factor, cluster, and classification analyses

→

Outputs

Dynamic segmentation
Personas, value, and migration paths

AER positioning
How to position the firm for each stage

AER strategies
Actions that best fit each persona and stage

Inputs to the Customer Dynamics Framework

- The firm's existing customer portfolio – ideally a firm's CRM system provides detailed customer-level data for the dynamic segmentation analysis
- Data linking past customer responses with specific marketing programs and the programs' cost
- The qualitative and quantitative information gleaned from the lost customer analysis, which reveals the causes of customer defection, where they go, and potentially effective recovery strategies

Outputs of the Customer Dynamics Framework

- A description of the firm's customer personas and expected migrations to understand how they change, including:
  - → Critical life event triggers
  - → The products and services they buy at different points in their lifecycle migration
  - → When they stop buying and why
  - → How they feel at different stages in their lifecycle
  - → The CLV of customers in each persona
- AER Positioning statements – how to best position the firm in each persona/AER stage
- AER strategies – what marketing strategies work best for each persona/AER stage

Process for Managing Customer Dynamics

- To convert CRM, marketing program, and lost customer input data into dynamic segmentation and AER positioning statements and strategies, managers should follow a series of steps:
  - → Dynamic segmentation
  - → Migration Paths and Triggers
  - → Customer Lifetime Value of Segments and Migrations
  - → AER positioning statements
  - → AER strategies

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Madrigal: Why Audit the Customer Base?

Madrigal is a U.S. retailer with roughly 20 years of operating history and a loyalty program. A new CEO discovers that the company lacks a systematic view of its customers.

- Management reports describe products and total sales more clearly than customer behavior.
- The company cannot explain whether growth comes from more customers, better customers, or temporary spending changes.
- The CMO must turn transaction records into a diagnosis of customer-base health.

What would you want to know before recommending a sustainable growth strategy?

Source: Ascarza, Hardie, Ross, and Fader, Madrigal: Conducting a Customer-Base Audit, Harvard Business School, 2024. Case product 524046.

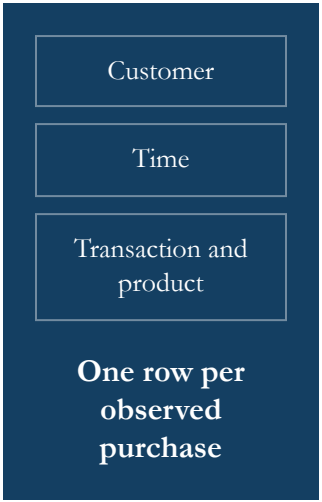
Madrigal: Role, Data, and Unit of Analysis

Your role

You are the CMO preparing a customer-base audit for the new CEO.

Available evidence

Four years of customer transaction records. Exact teaching data access should be confirmed with the case distributor.



Shift in perspective

Product reports aggregate over customers. The audit reorganizes the same records around customer histories, acquisition cohorts, and value distributions.

Madrigal: Four Questions for the Audit

01 **Customer growth**

How have active, new, retained, and reactivated customer counts changed?

02 **Customer heterogeneity**

How widely do purchase frequency, spend, and relationship length vary?

03 **Customer value**

How concentrated is revenue or contribution, and which cohorts create durable value?

04 **Customer segments**

Which behavioral groups describe the base, and how is their mix changing?

Madrigal: Workshop Analysis Plan

1

Build annual customer summaries

Classify each customer as new, retained, reactivated, or lapsed in each year.

2

Compare acquisition cohorts

Track repeat purchasing, spend, and survival from the first purchase onward.

3

Measure concentration and value

Examine customer deciles and estimate how much future value depends on a small part of the base.

4

Develop behavioral segments

Translate recency, frequency, monetary value, and tenure into groups that support different actions.

Madrigal: From Audit to Growth Strategy

Diagnostic

- Which customer metrics explain the firm's recent growth?
- Where does the customer base show weakening acquisition quality or retention?
- Which customer groups account for current and future value?

Recommendation

- Prioritize one acquisition, development, or retention problem.
- Connect the proposed action to a measurable customer outcome.
- State which analysis would confirm or reject the recommendation.

Official case and teaching-material access Confirm the teaching dataset and instructor resources with Harvard Business Publishing.

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Managing Customer Dynamics: Takeaways

Observe customer histories

Cross-sectional totals can hide changes in acquisition quality, retention, and customer mix.

Compare cohorts and segments

Customer averages become more useful when managers identify who changed and when.

Connect analysis to action

Customer value supports resource allocation only when the firm links metrics to acquisition, development, or retention decisions.